

momentum has become one of the most heavily researched finance topics over the past 20 years. Since Jegadeesh and Titman, there have been more than 300 academic papers on momentum, including over 150 in the last five years. Research has focused on four areas:

- Determining the momentum effect across different assets
- The statistical properties of momentum returns
- Theoretical explanations for the momentum effect
- Enhancements to momentum-based strategies

Continuing research has established momentum as an anomaly that works well within and across nearly all markets, including U.S. and foreign equities, industry groups, equity indexes, global government bonds, corporate bonds, commodities, currencies, and residential real estate.⁶ Momentum works well across over a dozen asset classes and more than 40 countries.⁷

Momentum is robust with respect to time, as well to different markets. Chabot, Ghysels, and Jagannathan (2009) showed that momentum worked well in U.K. equities all the way back to the Victorian age. Geczy and Samonov (2012) showed that momentum was effective through out-of-sample testing on U.S. equities all the way back to the year 1801! Over this 212-year history the equally weighted top one-third of stocks sorted on price momentum significantly outperformed the bottom one-third of stocks by 0.4% per month with a highly significant t-statistic of 5.7.

In the 1990s, Schwert (1993) did a study of market anomalies related to profit opportunities, such as value, size, calendar effects, and momentum. He found that all anomalies except momentum disappeared, reversed, or attenuated following their discovery. Momentum was the only one that persisted.

Momentum has continued to perform well out-of-sample during the two decades following the seminal studies by Jegadeesh and Titman. It is no wonder that Fama and French (2008) call momentum “the center stage anomaly of recent years.” They further explain: